5. The objective of internal audit is _____
   a. To verify the accuracy of accounts
   b. To review the internal control system
   c. To detect errors and frauds
   d. All the above

6. Which ensures the effective and efficient system of accounting control
   a. Internal Audit
   b. Internal Control
   c. Internal Check
   d. Computerised Accounting

7. Which audit ensures the reporting to the management about compliance of policies and standards of performance
   a. Internal Audit
   b. Internal Control
   c. Internal Check
   d. Annual Audit

8. Which provides advisory services to the management for its improvement
   a. Internal Check
   b. Internal Audit
   c. Internal Control
   d. Audit Report

9. Internal Audit is not suitable for
   a. big organizations
   b. small organisations
   c. private Companies
   d. Public Companies

10. Internal Audit is not suitable for small organisations because it is
    a. Costly
    b. Cheaper
    c. Done by employee of the concern
    d. none of the above

[Answers 1.(c), 2.(a), 3.(b), 4.(b), 5.(d), 6.(a), 7.(a), 8.(b), 9.(b), 10.(a)

II. Very Short Answer Questions

1. What do you mean by internal audit?
2. Define Internal Audit.
3. Who is an Internal Auditor?
4. How is an Internal auditor appointed?
5. Write a note on Internal Audit Report.

III. Short Answer Questions

1. Briefly explain the scope of Internal Audit.
2. What are the Advantages of Internal Audit?
3. What are the Disadvantages of Internal Audit?
4. Write a short note on Internal Audit.

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